REVENUE RECOGNITION IN PICTURES

Farah's Water Purifier Sale

When is revenue earned?

Dev pays everything today.
Has Farah earned everything?



STEP 5



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Ind AS 115 IFRS 15 ASC 606

Two promises, already priced



Purifier: ₹12,000
12-month service plan: ₹6,000

Total ₹18,000

Steps 1–4 are complete. These are the allocated amounts.

Ind AS 115 / IFRS 15, paragraphs 31–45 and 105–109

Dev pays before delivery



Farah receives the entire amount before either promise is fulfilled.

Cash + ₹18,000

Receiving payment leaves Farah with obligations to perform.

Ind AS 115 / IFRS 15, paragraphs 31–45 and 105–109

Cash received, revenue still ₹0



Cash received: ₹18,000
Revenue recognised: ₹0
Contract liability: ₹18,000

Revenue ₹0

The advance represents an obligation to deliver and serve.

Ind AS 115 / IFRS 15, paragraphs 31–45 and 105–109

The purifier reaches Dev’s kitchen



Dev receives and accepts it.
He can use it and obtain its benefits.

Control transfers

No substantive installation or other transfer condition remains.

Ind AS 115 / IFRS 15, paragraphs 31–45 and 105–109

Farah recognises ₹12,000



Purifier obligation: satisfied
Service obligation: still to perform

Revenue + ₹12,000

The purifier is a point-in-time sale.

Ind AS 115 / IFRS 15, paragraphs 31–45 and 105–109

Twelve months of service remain



Allocated service consideration: ₹6,000
Service period: 12 months

Liability ₹6,000

The service plan starts on delivery.

Ind AS 115 / IFRS 15, paragraphs 31–45 and 105–109

One month of service is earned



₹6,000 ÷ 12 months

₹500 per month

The customer receives the stand-ready benefit over time.

Ind AS 115 / IFRS 15, paragraphs 31–45 and 105–109

A quiet phone still means service



Dev makes no repair call.
Farah remains available all month.

Still ₹500

The promised availability has been provided.

Ind AS 115 / IFRS 15, paragraphs 31–45 and 105–109

After three full service months



Purifier revenue: ₹12,000
Service revenue: 3 × ₹500 = ₹1,500
Remaining service liability: ₹4,500

Revenue ₹13,500

Cash collected remains ₹18,000.

Ind AS 115 / IFRS 15, paragraphs 31–45 and 105–109

At the end of the service year



Purifier revenue: ₹12,000
Service revenue: ₹6,000
Remaining contract liability: ₹0

Revenue ₹18,000

All promised performance in this example is complete.

Ind AS 115 / IFRS 15, paragraphs 31–45 and 105–109

The rule behind the timing

STEP

5



WHEN IS IT EARNED?

OVER TIME: any one criterion is enough

1 The customer receives and consumes benefits as you perform.
2 You create or enhance an asset the customer controls.
3 No alternative use AND an enforceable right to payment for performance completed to date.

POINT IN TIME: assess when control transfers

Present right to payment, legal title, physical possession, risks and rewards, and customer acceptance are indicators.

The indicators are not an all-items checklist.

Ind AS 115 / IFRS 15, paragraphs 31–45 and 105–109

Check yourself

Think first. Click to reveal each answer in Slide Show.

1 **Revenue before delivery or service?**

₹0. The ₹18,000 advance is a contract liability.

2 **Revenue when the purifier is delivered and accepted?**

₹12,000 for the purifier.

3 **Service revenue each full month?**

₹500 under the even stand-ready service pattern.

4 **Service liability after three full months?**

₹4,500 for the nine months still to perform.

Ind AS 115 / IFRS 15, paragraphs 31–45 and 105–109